

SIMPLE AGREEMENT FOR FUTURE EQUITY

(Post-Money, YC v1.1 — Discount, Cap)

Investor: 500 Global Fund VI L.P.

Company: Sundar Foods Pvt. Ltd.

Purchase Amount: **USD 175,000**

Post-Money Valuation Cap: **USD 30,000,000**

Discount Rate: **80%** (i.e., 20% discount)

Date: 11 January 2024

1. Events

1(a) Equity Financing. If there is an Equity Financing before the termination of this Safe, on the initial closing of such Equity Financing, this Safe will automatically convert into the number of shares of Safe Preferred Stock equal to the Purchase Amount divided by the Conversion Price. For purposes of this Safe, "Equity Financing" means a bona fide transaction or series of transactions with the principal purpose of raising capital, pursuant to which the Company issues and sells Preferred Stock at a fixed valuation, with aggregate proceeds of at least **USD 5,000,000** (the "Threshold Amount").

2. Definitions

"Conversion Price" means the lower of (a) the Safe Price and (b) the Discount Price.

"Safe Price" means the price per share equal to the Post-Money Valuation Cap divided by the Company Capitalization immediately prior to the Equity Financing.

"Discount Price" means the price per share of the Standard Preferred Stock sold in the Equity Financing multiplied by the Discount Rate.

3. Conversion Mechanic — Worked Example (illustrative only)

Assume Series B-1 closes at INR 50.00/share. At the spot rate of INR 83.50 / USD on the closing date, the Series B-1 price is USD 0.5988/share, and the Discount Price would be USD 0.4790/share. The Safe Price equals USD 30,000,000 divided by the pre-money Company Capitalization (TBD at closing). The Conversion Price is the lower of those two — which depends on the actual capitalization count on the conversion date.

4. MFN ("Most Favored Nation")

If the Company issues any other Safes or convertible securities prior to the termination of this Safe with terms that are more favorable to the holder thereof (including, without limitation, a lower Valuation Cap or a higher Discount Rate), the Company shall promptly inform the Investor and the Investor may elect to amend this Safe to incorporate such more-favorable terms.

Open / TBC

Q: Series B-1 closed on 15 March 2026 at gross proceeds of ■120 crore (~USD 14.4M). This exceeds the USD 5M Threshold — does this Safe automatically convert, even though the company secretary has not yet issued the conversion notice?

Q: Does the Hustle Fund III Safe (also dated 11-Jan-2024) have identical terms? If not, does MFN trigger here? (Hustle Fund's term sheet referenced "no discount" — but our copy shows 20%.)